

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-16

**WAN HAI LINES, LTD. AND WAN HAI LINES (USA) LTD. — POSSIBLE VIOLATIONS
OF 46 U.S.C. § 41102(C)**

**BOE RESPONSE TO ORANGE AVENUE EXPRESS, INC.’S MOTION FOR LEAVE
TO INTERVENE AND SUPPLEMENTAL BRIEF**

I. PROCEDURAL HISTORY

On December 30, 2021, the Federal Maritime Commission (FMC or Commission) initiated this proceeding by issuing an Order of Investigation and Hearing pursuant to 46 U.S.C. §§ 41102(c), 41302(a), and 46 C.F.R. § 502.63. Order Investig. Hr’g at 4, FMC Docket No. 21-16 Doc. No. 1, Dec. 30, 2021 (Order Investig. Hr’g or Order of Investigation and Hearing). The Order of Investigation and Hearing was then published in the Federal Register on January 6, 2022. Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd.; Possible Violations; Order of Investigation and Hearing, 87 Fed. Reg. 781 (Jan. 6, 2022). Respondents Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. (collectively, Respondents or Wan Hai) and the Bureau of Enforcement (collectively, the Parties) duly began discovery and exchanged initial disclosures and some other discovery requests pursuant to the Administrative Law Judge’s Initial Order. Initial Order at 2–3, FMC Docket No. 21-16 Doc. No. 3, Jan. 6, 2022. The Parties also conducted simultaneous settlement negotiations pursuant to the Initial Order. *Id.* at 2.

The Parties reached an agreement in principle to settle the case and filed a joint motion for continuance to further discuss settlement details. Jt. Mot. Continuance at 1–2, FMC Docket No. 21-16 Doc. No. 15, Apr. 1, 2022; *see also* Order Granting Mot. Continuance Part, FMC Docket No. 21-16 Doc. No. 16, Apr. 4, 2022 (Order of Continuance) (granting the Parties motion and encouraging the Parties to discuss settlement while denying their proposed schedule in part). Pursuant to 46 C.F.R. § 502.75 and the Order of Continuance, the Parties jointly filed a motion for approval of the settlement agreement, the Parties’ settlement agreement, and an accompanying memorandum in support of the Parties’ settlement agreement. *See* Jt. Mot. Appr. Settlement Agreement, FMC Docket No. 21-16 Doc. No. 17, May 5, 2022; Jt. Memo. Supp. Proposed Settlement, FMC Docket No. 21-16 Doc. No. 18, May 5, 2022 (Jt. Memo. or Joint Memorandum) (citing the Parties’ several remaining procedural steps including additional responses to Bureau of Enforcement’s (BOE) discovery requests, outstanding replies to third-party subpoenas, depositions (of Respondents and third parties), as well as the briefing and submission of the Parties’ respective cases); Settlement Agreement, FMC Docket No. 21-16 Doc. No. 18, May 5, 2022 (Settlement Agreement).

On May 16, 2022, Orange Avenue Express, Inc. (OAE) filed its Motion for Leave to Intervene citing 46 C.F.R. § 502.68(c)(1), (c)(2)(i). Mot. Leave Intervene at 2, FMC Docket No. 21-16 Doc. No. 20, May 16, 2022 (Mot. Intervene or Motion to Intervene). OAE moved to intervene so that “it can provide a brief addressing the insufficiencies and possible unintended consequences of the [Settlement] Agreement for consideration of the Presiding Officer and Commission.” *Id.* Administrative Law Judge (ALJ) Wirth then ordered the Parties to “submit a response to [OAE’s Motion to Intervene] which supplements their arguments regarding the merits of the [Settlement Agreement] by June 1, 2022.” Order Requiring Supp. Br’g at 3, FMC Docket No. 21-16 Doc. No. 21, May 26, 2022 (Order of Supp. Br’g or Order of Supplemental Briefing).

Pursuant to the Order of Supplement Briefing, BOE now addresses the Motion to Intervene and the merits of the Settlement Agreement.

II. OAE MOTION TO INTERVENE

A. Procedural Posture of OAE's Motion

1. Intervention as of Right

OAE moves to intervene pursuant to 46 C.F.R. § 502.68(c)(1) which provides:

(c)

(1) ***Intervention of right.*** The presiding officer or Commission must permit anyone to intervene who claims an interest relating to the property or transaction that is subject of the proceeding, and is so situated that disposition of the proceeding may as a practical matter impair or impede the ability of such person to protect its interest, unless existing parties adequately represent that interest.

46 C.F.R. § 502.68(c)(1).

OAE seeks to intervene because:

[A]ny decision approving the [Settlement] Agreement may have the unintended consequence of impacting the future decision on the alleged violations against Hapag Lloyd in [FMC Docket No. 21-10] concerning an ocean carrier's procedures and practices in assessing detention when returning empty ocean containers, and also will assist the presiding officer in the decision to approve or not approve the [Settlement] Agreement.

Mot. Intervene at 10.

To intervene as of right a party must establish that it has an interest relating to the *property* or *transaction* that is the subject of the proceeding it wishes to intervene in. *See* 46 C.F.R.

§ 602.68(c)(1). Next, the party must be “so situated” that the outcome of the proceeding would “impair or impede” its ability to protect its interest. *Id.* OAE meets neither of these conditions.

First, this proceeding concerns only the containers listed in Attachment A of the Order of Investigation and Hearing. *See* Order Investig. Hr'g at 10. Although OAE may have an interest as to how the proceeding impacts the interpretation of the Interpretive Rule on Demurrage and

Detention Under the Shipping Act (Interpretive Rule), 85 Fed. Reg. 29638 (May 18, 2020), OAE has no particular interest related to any property or transaction in this proceeding.

For the sake of argument, if OAE's interest did meet the first explicit element in 46 C.F.R. § 502.68(c)(1), the Settlement Agreement still would not impair or impact their ability to protect their interest. Although BOE is certainly sensitive to how little precedence or case law there is regarding the Interpretive Rule, the Settlement Agreement will not impair or impede OAE's ability to establish a prima facie case against Hapag-Lloyd, A.G.

OAE asserts that the Settlement Agreement will impact the ALJ's decision in FMC Docket 21-10 "concerning an ocean carrier's procedures and practices in assessing detention when returning empty ocean containers," but the burden to establish a prima facie case and meet all the elements of the 46 U.S.C. § 41102(c) is the complainant's own, not BOE's. The Settlement Agreement, as written, only establishes non-violative future practices for Wan Hai Lines, Ltd. when assessing detention charges in certain situations. Although it may give some clarity to the shipping public as to what are reasonable practices for the Respondents in this proceeding, the Settlement Agreement does not purport to establish that any aberration from these particular sets of facts and this particular Vessel Operator would not constitute unreasonable or unjust practices. The Interpretive Rule is a fact specific analysis; complainants have their own opportunity to litigate and persuade a presiding officer that a Respondent's actions were unjust and unreasonable. The Settlement Agreement is narrowly tailored to this proceeding's circumstances and binds only this proceeding's Respondents and will not impede or impair OAE's litigation in FMC Docket No. 21-10.

2. Permissive Intervention

OAE also argues that it may intervene permissively pursuant to 46 C.F.R.

§ 502.68(c)(2)(i), which provides:

(2) Permissive intervention.

- (i) ***In general.*** The presiding officer or Commission may permit anyone to intervene who shows that a **common issue of law** or fact exists between such person's interest and the subject matter of the proceeding; that **intervention would not unduly delay or broaden the scope of the proceeding**, prejudice the adjudication of the rights, or be duplicative of the positions of any existing party; and that such person's participation may reasonably be expected to assist in the development of a sound record.

46 C.F.R. § 502.68(c)(2)(i) (emphasis added).

OAE's Motion to Intervene has already delayed this proceeding. And several of its concerns to the Settlement Agreement, as discussed below, attempt to broaden its scope. If OAE enters this proceeding as a party, and formally opposes the Settlement Agreement—resulting in its denial—BOE and Wan Hai will re-enter discovery. As asserted in the Joint Memorandum there remain several procedural steps: including additional responses to Bureau of Enforcement's (BOE) discovery requests, outstanding replies to third-party subpoenas, depositions (of Respondents and third parties), as well as the briefing and submission of the Parties' respective cases. *Jt. Memo* at 2, 6. These steps will also delay the resolution of this proceeding.

OAE's entry into this proceeding would not benefit this proceeding's speedy or inexpensive determination and would duplicate many procedural steps the Parties have already taken. OAE's entry would not assist in the development of the record and OAE admits that it does not seek to participate in any discovery, but "rather seeks intervention to provide its brief on the propriety of the Settlement Agreement." *Mot. Intervene* at 10. An *amicus curiae* brief may have been a better vehicle to provide "insight and perspective" to

the Parties Settlement Agreement than intervention into this proceeding. *See id.* (“OAE can provide insight and perspective as to the consequences of approve the [Settlement] Agreement on its current dispute and operations going forward as a drayman in the Ports of Long Beach and Los Angeles.”); *see also* 46 C.F.R. § 502.73.

3. Timeliness of the Motion

OAE moved to intervene on May 16, 2022. The Order of Investigation and Hearing was published in the Federal Register on January 6, 2022. The regulation regarding the timeliness of motions to intervene states:

The timeliness of the motion will also be considered in determining whether a motion will be granted under paragraph (b)(2) of this section and should be filed no later than 30 days after publication in the Federal Register of the Commission's order instituting the proceeding or the notice of the filing of the complaint. Motions filed after that date must show **good cause** for the failure to file within the 30-day period.

46 C.F.R. § 502.68(c)(3)(emphasis added).

In order to intervene at this point in the proceeding, OAE would need to demonstrate good cause. OAE does not discuss why it chose intervention over filing an amicus brief.

B. It is Inappropriate for BOE to Comment on Legal Theories at Issue in Private Actions

BOE represented to the ALJ that it did not intend to respond to OAE’s Motion to Intervene, *see* Order of Supp. Br’g at 1, because BOE believes that it is inappropriate for a governmental entity to comment on the legal theories asserted in the Motion to Intervene and the pending private proceeding that OAE is a party to in FMC Docket No. 21-10. The ALJ ordered that both parties submit a response to the Motion to Intervene, so BOE now responds to each pertinent allegation in the Motion to Intervene pursuant to Order of Supplemental Briefing.

1. Ocean Carrier’s Obligations

OAE argues that “[i]t is the ocean carrier’s obligation to have sufficient space and labor to

accept empty containers.” Mot. Intervene at 7. While BOE is aware of a carrier’s duty to provide adequate facilities¹, this is not an argument BOE asserts in its own filings. Because any comment by BOE as to the merits of this approach could affect the outcome of private litigation, it would be inappropriate for BOE to adopt a position regarding the merits of OAE’s argument. It would be likewise inappropriate for BOE to discuss internal deliberations regarding its case theories, or litigation strategies. BOE is content to leave the analysis of OAE’s legal theories to the ALJ and the parties in FMC Docket No. 21-10.

2. Validity of Marine Terminal Operators’ Systems and Operations

OAE takes issue in its Motion to Intervene with the validity of both appointment systems and dual transaction requirements. Mot. Intervene at 7–9. These are systems and procedures imposed by Marine Terminal Operators (MTOs), not the Respondents. See TERMINAL APPOINTMENT SYSTEMS: WHAT DOES THE FUTURE HOLD FOR THEM?, INTERMODAL INSIGHTS, <https://www.intermodal.org/terminal-appointment-systems-what-does-future-hold-them> (last accessed May 31, 2022) (discussing broadly the role of appointment systems for marine terminal operators). Because BOE did not join any MTOs in this litigation, it would be inappropriate for BOE to comment on MTO decisions and operations. It is likewise inappropriate for BOE to either confirm or deny whether there are past or current investigations into these topics.

¹ “It is the carrier’s obligation not only to afford the necessary free time but also to provide terminal facilities adequate to render such free time meaningful and realistic.... This obligation may be fulfilled either by the carrier itself or through an agent.” *Investigation of Free Time Practices - Port of San Diego*, 9 F.M.C. 525, 539 (FMC 1966); *Boston Shipping Ass’n v. Port of Boston Marine Terminal Ass’n*, 10 F.M.C. 409, 415 (MFC 1967; See also *Reefer Express Lines Pty., Ltd. v. Uiterwyk Cold Storage Corporation, Eller & Company, Inc., and Tampa Port Authority*, 212 S.R.R. 1518 (FMC 1986).

C. It is Inappropriate for BOE to Comment on the Commission's Decisions Regarding Rulemakings

OAE expresses concerns that the practices outlined in the Settlement Agreement should instead be more properly addressed through procedures under the Administrative Procedure Act. Mot. Intervene at 7. One of the outcomes of Fact Finding 28 was the Interpretive Rule. The Commission chose this approach to address the Petition, FMC Docket No. P4-16—*Petition of the Coalition for Fair Port Practices for Rulemaking* Doc. No. 1, Dec. 7, 2016, and industry concerns regarding Detention in lieu of notice-and-comment rulemaking for a traditional Regulation. It would be inappropriate for BOE to comment on this decision, or either confirm or deny any internal agency deliberations regarding that decision or any potential future decisions regarding rulemakings. BOE is content to leave any judgments on OAE's proposition regarding regulatory process versus litigation process to the ALJ.

III. MERITS OF THE SETTLEMENT AGREEMENT

The proposed Settlement Agreement is an equitably produced agreement, without fraud, duress, undue influence, or mistake. The terms are fair, reasonable, and adequately negotiated to bring this proceeding to a just, speedy, and inexpensive determination. The Settlement Agreement fully complies with the Interpretive Rule, 46 U.S.C. § 41102(c), and the Shipping Act as it only articulates practices for Respondents to follow that conform with the Interpretive Rule and does not purport to establish that any aberration from this proceeding's fact pattern would not constitute unreasonable or unjust practices. The Parties have fully complied with all the requirements of informal settlement and wish to conserve judicial resources and eliminate "costly and lengthy formal hearings." See *Pennsylvania Gas and Water v. Federal Power Commission*, 463 F.2d 1242, 1247 (D.C. Cir. 1972); see also 5 U.S.C. § 554(c)(1); 46 C.F.R. § 502.75(b).

A. The Settlement Agreement is Narrowly Tailored

The Settlement Agreement is narrowly tailored to address the factual circumstances in the case at hand, namely, when container return cannot be timely completed due to a lack of appointments, dual transaction requirements, or chassis restrictions, and detention charges are billed and disputed. It is not meant to cover scenarios outside the facts pattern presented in this case.

OAE is correct that while the Settlement Agreement is “applicable to any ‘party’, the [Settlement] Agreement is focused on a motor carrier’s ability to return an empty container, instead of the ability of a cargo owner to do so.” Mot. Intervene at 9. However, if a cargo owner was trucking the empty container itself, then the cargo owner would be the person tasked with making appointments, if necessary, or managing chassis restrictions or dual transaction restrictions. The Parties did not contemplate container return by rail or other means, as that would be outside the scope of the proceeding.

It is true that not all terminals use appointment systems, and the possibility of additional terminals employing such systems, or discontinuing them, remains. It is not necessary that this factor be detailed in the Settlement Agreement, because in the absence of an appointment system, a dispute founded on a lack of appointments would never be raised.

While the specific undertakings in the Settlement Agreement do impose requirements on the motor carrier, cargo owner, or public, BOE does not believe this to be an unreasonable burden. The tasks enumerated, for purposes of providing documentation in a dispute, were completed by the motor carrier witness in this case on a regular basis. The Parties recognize that some form of documentation should be supplied when requesting a waiver of traditionally applied charges.

OAE expresses concern that the Settlement Agreement would “approve and deem certain practices in compliance with the Act and the Commission’s regulations.” *Id.* at 7. This is true. However, litigation of 46 U.S.C. § 41102(c) is precisely that—a determination of reasonableness is at the heart of this litigation. Absent a settlement, the ALJ would be deciding if a violation of 46 U.S.C. § 41102(c) occurred, and by doing so, deeming the practice in this litigation reasonable or unreasonable. The ALJ has the option to issue a cease-and-desist order, which leaves no clear affirmative guidance, and could lead to repeat litigation as Respondents try out different procedures, only to be rebuffed by BOE. Motor carriers could be forced to go along with these experiments, which could impose an undue burden in terms of needing to meet changing carrier requirements. BOE believes it is in the best interest of the shipping public to instead have clear procedures to follow, which balance the burden between both parties in a detention billing dispute.

Nothing in the Settlement Agreement forecloses the possibility of it being superseded by Regulation or Statute. Nor does the Settlement Agreement prohibit private legal actions.

B. Settlement Agreement Specifics

While BOE would prefer to allow the Settlement Agreement to stand on its own, without revealing any confidential discussions held in negotiations or BOE’s negotiation strategies or internal deliberations regarding settlement discussions, BOE recognizes the ALJ has specific questions with regards to certain aspects of the Settlement Agreement and addresses them below.

1. “Request for a Waiver”

a. Appointment Systems

The undertakings outlined in the Settlement Agreement relate specifically to disputes over detention when a party claims it was unable to execute, timely, the return of a container, due to a lack of appointments, dual transaction requirements, or chassis restrictions. While there may be

other reasons why a person wishes to dispute a detention charge, those possibilities were not at issue in this proceeding, so, consequently they are not discussed in the Settlement Agreement. It would be inappropriate to fashion a Settlement Agreement with undertakings based on hypothetical scenarios. Not all terminals in the U.S. use appointment systems, but if appointments are not at issue, then the provisions regarding appointment screenshots would not apply.

b. Dual Transactions

The Settlement Agreement provides a mechanism for motor carriers or other parties to dispute a charge when the only way to return an empty container was as part of a dual transaction. BOE views dual transaction requirements as a restriction akin to appointments or chassis restrictions. This is consistent with the Interpretive Rule as “[t]he Commission is particularly concerned about the reasonableness of dual move requirements, or more specifically, an ocean carrier imposing detention when a trucker's inability to return a container within free time is due to it not being able to satisfy a dual move requirement.” Interpretive Rule, 85 Fed. Reg. 29638 at 29655.

OAE characterizes this is instead as dual transactions themselves being “suspect”. Mot. Intervene at 8. OAE misunderstands the Commission’s position on dual transactions. First, dual transaction requirements are imposed by the MTO, not the carrier, usually for operational reasons such as not having enough space to accept an empty container without outgating a full one. As previously discussed, no MTOs are parties to this proceeding, so the reasonableness of dual transaction requirements is not explored. BOE treats these as a restriction on container return, which is why they are included here. OAE also confuses the Settlement Agreement’s approach to dual transaction restrictions. See Mot. Intervene at 8–9. The Settlement Agreement neither requires a motor carrier to show it did not have a dual transaction or show that it attempted one. Settlement

Agreement at 4. The Settlement Agreement merely requires that a statement from the motor carrier be included in the dispute packet if dual transaction restrictions were at issue in that dispute. *Id.*

c. Differences from FMC Docket No. 21-09

Respondents in this proceeding are a different company than in FMC Docket No. 21-09 in how their operations function, the size of their staff, and the number of terminals upon which they call. Here, Respondents have an equipment control department who may be able to assist a party in returning a container, should they encounter appointment difficulties or dual transaction restrictions. For example, it may be possible, if a motor carrier contacts this department, for Respondents to work with the MTO at issue. This is not a guarantee, and may not always be applicable, but the Parties felt it should be included here in order to possibly prevent charges from accruing in the first place, unburden the motor carrier from needing to store an unwanted container, free up chassis, reduce chassis fees, and enhance cargo velocity.

2. “Evidence of Unavailability”

a. Screenshot Timing and Appointments Release

Without revealing confidential settlement discussions, the Parties felt the need to arrive at a compromise on when and how often screenshots should be taken. BOE feels that requiring motor carriers (or other parties) to take too many screenshots too frequently, or at specific intervals during their operations would be unduly burdensome. However, BOE recognizes that some parameters need to be imposed. Based on information obtained during discovery, it was found that terminals where Respondents call, open appointments for a given day at a particular point in the day, but that each is different than the other. For example, a terminal may release appointments for a Wednesday at 3pm on the previous Monday, but another may release them at 10am on the previous Tuesday. It should be noted that “the time at which appointments are made available” refers to this process, and

not the dynamic nature of individual time slots becoming booked or cancelled throughout the course of a day. See Settlement Agreement at 3. BOE feels that requiring screenshots frequently enough to capture the latter dynamic would be beyond unduly burdensome—it would be physically and technically impossible. Should the ALJ decide that the 3-hour window is unreasonable, or that this clause is unclear, BOE is willing to work with Respondents to renegotiate this clause.

b. Differences from FMC Docket No. 21-09

The Settlement Agreement in FMC Docket No. 21-09 differs because Respondents in that case call at many more terminals than Respondents here, and BOE felt it would be unreasonable to require the public to know which terminals made appointments available at a particular time and day, what those times were, and which do not follow the aforementioned procedure. Again, if the ALJ prefers the terms contained in the parallel clause in FMC Docket No. 21-09, BOE is willing to work with Respondents to renegotiate.

c. Dual Transactions

BOE agrees with OAE that the return of an empty container should not be predicated on a motor carrier's ability to pick up an unrelated import load. That is the reasoning behind section iii d in the Settlement Agreement. Settlement Agreement at 4. If the only way to return a container to a terminal was through a dual transaction, and a motor carrier did not do so, BOE believes that detention charges should be waived. OAE misreads the Settlement Agreement as requiring a motor carrier to "prove" it could not satisfy a dual transaction requirement. On the contrary, the Settlement Agreement only requires the disputing party to make a statement that it was unable to perform a dual transaction. BOE feels it would be unduly burdensome for a disputing party to be required to submit evidence of all its available import runs, juxtaposed with the empties it wishes to return. This approach could potentially require multiple screenshots of all terminals in a port for all

carriers which call there. Requiring a party to prove it could not affect a dual transaction would be extremely burdensome and could also reveal proprietary information about the disputing party's business relationships, and cargo interest's contract terms, with other carriers—Respondents' competition.

3. Possible Denial of Dispute

BOE recognizes Respondents' right to deny a dispute for a charge they believe is just and reasonable. BOE does not wish to disclose confidential settlement discussions, so will leave Respondents to address this clause if it so chooses. It should be noted that should a person believe they have been unreasonably denied a waiver, the Settlement Agreement does not preclude them from pursuing private litigation, or from providing the FMC with evidence and allegations for a future investigation and enforcement proceeding. The Settlement Agreement does not purport to establish that any aberration from its particular sets of facts and this particular Vessel Operator would not constitute unreasonable or unjust practices.

C. Communications Regarding Return Locations

BOE does not wish to disclose confidential settlement discussions, so will leave to Respondents to address in their supplemental brief its desire to clarify that its daily list is not "exhaustive" (item "C" in the Settlement Agreement).

However, BOE believes that Respondents should fully disclose where to bring containers, so motor carriers know where to look for appointments. BOE believes it would be unduly burdensome for motor carriers to check appointment availability for every container, at every single terminal in a port complex. However, if a motor carrier were to check only the list the carrier disseminates, and that list did not contain some locations, the motor carrier could miss an opportunity to rid itself of an unwanted empty. Without revealing confidential settlement discussions, BOE's position on

“secret return locations” was expounded upon in its opening and reply briefs in other litigation. *See* Opening Br. of the Bureau of Enforcement, FMC Docket No. 21-09 Doc. No. 24, Mar 11, 2022; Bureau of Enforcement Reply Br. at 14, FMC Docket No. 21-09 Doc. No. 30, Mar. 25, 2022 (“Respondent’s reliance on motor carriers being aware of secret return locations is not a reasonable regulation or practice.”). BOE desires Respondents act with maximum transparency regarding possible return locations.

In addition, many parties in these types of transactions are bound by the Uniform Intermodal Interchange and Facilities Access Agreement (UIIA). It was found during discovery that the UIIA requires Respondents to make public a list of return locations by 4:00pm for each subsequent day. BOE does not wish to contradict the UIIA.

IV. CONCLUSION

BOE negotiated this Settlement Agreement in good faith, based on its knowledge of terminal operations, motor carrier operations, the shipping industry, and the facts of this case. BOE has a responsibility to the shipping public and believes this Settlement Agreement is fair to Respondents, the Commission, and the shipping public. As previously stated, this Settlement Agreement gives clear guidance to the industry regarding how to successfully dispute an unfair, unjust, or unreasonable charge of detention incurred when a container could not be returned due to an inability to secure an appointment, or dual transaction requirements, or chassis restrictions. It also contains an appropriate civil penalty. In assessing a civil penalty for violations of the Shipping Act, the Commission must take into consideration “the nature, circumstances, extent and gravity of the violation committed and the policies for deterrence and future compliance with the Commission’s rules and regulations and the applicable statutes.” 46 C.F.R. § 502.603(b). In addition, consideration must be given to “the respondent’s degree of culpability, history of prior

offenses, ability to pay and such other matters as justice requires.” *Id.* BOE has determined this amount is appropriate in consideration of the factors listed above and sufficient to deter future violative behavior.

BOE believes the Settlement Agreement should be approved by the ALJ and is willing to address with Respondents any changes the ALJ deems appropriate if so ordered. BOE does not wish to take a position regarding whether OAE has the right, or should be permitted, to become involved in this litigation, and leaves the validity of OAE’s intervention to the ALJ.

DATED: June 1, 2022

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 1st day of June 2022, a copy of the foregoing document has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

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